JILL MATANGI
versus
KUDZAI TONGOONA
and
MESSENGER OF COURT, HARARE N.O
and
MARK MOFFAT N.O
and
SANDE LEGAL PRACTICE
and
JAQUELINE SANDE

HIGH COURT OF ZIMBABWE
DEMBURE J
HARARE, 17 & 29 July 2026

Urgent Chamber Application: Confirmation of Provisional Order

P Sagwete, with her *F L Muchanya*, for the applicant
F Nyamande, with him *W Nziradzemhuka,* for the 1st, 4th & 5th respondents
No appearance for the 2nd & 3rd respondents

DEMBURE J:

[1] These are proceedings for the confirmation of a Provisional Order. On 12 March 2026, KWENDA J, after hearing an urgent chamber application, granted a Provisional Order for the release of the applicant's movable goods attached and removed by the Messenger of Court pursuant to a notice of attachment dated 6 March 2026 under case number HRE C-CG 3867/24. The Messenger of Court was executing a consent order granted in favour of the first respondent by the Magistrates Court. The applicant seeks confirmation of the Provisional Order in the terms of a final order as follows:

> "1. It is confirmed that the payment of ZIG 146 000.00 made on 4 March 2026 was full and final payment of the judgment debt and costs due to the first respondent.
> 2. The fourth and fifth respondents to pay the costs related to the release of the goods attached in the notice of attachment in execution dated 6 March 2026 under case number HRE C-Cg 3867/24 jointly and severally, the one paying the other to be absolved.

3. The fourth and fifth respondents shall pay costs on the legal practitioner and client scale."

[2] The final relief sought is a declaratory order and consequential relief, which is sought in terms of s 14 of the High Court Act [*Chapter 7:06*]. The first, fourth and fifth respondents oppose the confirmation thereof. The court heard submissions from the parties' legal practitioners on 17 July 2026.

FACTUAL BACKGROUND

[3] On 30 July 2025, the first respondent (as the plaintiff therein) sued out a summons in the Magistrates Court seeking payment of the sum of US$5 700.00 or its equivalent in ZiG at the interbank rate, collection commission, interest and costs of suit against the applicant (as the defendant therein). The amount claimed was the outstanding balance of a loan advanced to the applicant at her specific instance and request by the first respondent. The matter was registered under case number HRE C-CG 3867/24.

[4] The parties subsequently entered into a Deed of Settlement on 8 April 2025. It was also filed with the Clerk of Court on the same day. In terms of that Deed of Settlement, the applicant undertook to pay the first respondent the sum of US$5 700.00 in monthly instalments of US$300.00. The applicant also agreed to pay the costs of suit on an ordinary scale. In terms of clause 3 of the Deed of Settlement, the applicant specifically and expressly agreed and undertook to make the payments in United States dollars. A consent order was issued on 17 April 2025 for the applicant to pay the debt in terms of the Deed of Settlement. The court order also incorporated the terms of the Deed of Settlement.

[5] On 1 May 2025, the applicant paid a cash sum of US$300.00 to the first respondent. There is no dispute that the applicant later defaulted on the payments as agreed. He, however, paid ZWG9 031.86 through the Ecocash account of the fifth respondent, the first respondent's legal practitioner, on 2 June 2025. The fourth respondent, through a letter dated 15 July 2025, duly advised the applicant to strictly adhere to the currency of payment as agreed in United States dollars for any payment of the capital debt. As for that payment in local currency, the legal practitioners advised that the sum had been applied towards the costs. After this payment, it is common cause that the applicant made

no further payments to liquidate the debt. This resulted in the first respondent suing out a warrant of execution.

[6] The warrant of execution was served by the Messenger of Court on 2 March 2026. In terms of the notice of removal issued by the second respondent on 2 March 2026, the applicant's household goods were placed under judicial attachment and due for removal on 5 March 2026. On 4 March 2026 the applicant made a payment in local currency in the sum of ZWG146 000.00, through a bank transfer into the fourth respondent's account. The fourth respondent contended that the account is not its trust account but a business account. The applicant averred that the payment was equivalent to US$5 663.48 and, adding the amount to that she had previously paid, she had discharged her obligations to the first respondent.

[7] The applicant's legal practitioners sent a letter to the first respondent's legal practitioners on 4 March 2026 advising them that the warrant of execution had been duly satisfied and accordingly demanded that the execution be stopped. They also advised the second respondent of the payment made, but the Messenger of Court advised them that he had no instructions to stay the execution. This led the applicant to file an *ex parte* application in the Magistrates Court for stay of execution on 5 March 2026. However, execution did not stop, and the applicant's attached household goods were duly removed by the third respondent. The third respondent advised the applicant that they had been instructed by the fifth respondent to proceed with the execution because the payment in ZiG was not a proper performance of the consent order, which required payment only in United States dollars.

[8] The applicant's counsel also wrote another letter following the removal on 6 March 2026, which was not responded to by the time the application was filed. The applicant withdrew the *ex parte* application and filed the present urgent chamber application. The applicant seeks a *declaratur* that she has discharged the debt in full by the payment in local currency, the Zimbabwe Gold currency (ZiG or ZWG). She averred that the payment in the legal tender was a proper and lawful performance of her obligation arising from the consent order. She sought that it be declared that she duly discharged her obligations in

full and that the respondents meet the costs of execution and those necessitated by this suit. It was also stated that the first respondent must be taken to have waived her rights to receive United States dollars after she allegedly accepted the payment in local currency.

[9] The interim relief was granted unopposed before KWENDA J as the respondents were in default. The first, fourth and fifth respondents (*"the respondents"*), after being served with the Provisional Order, now seek that it be discharged. The first respondent raised numerous points *in limine* which were abandoned at the hearing. On the merits, she contended that the consent order, which incorporated the terms of the Deed of Settlement, required the applicant to pay the judgment debt only in United States dollars. The United States dollar was, therefore, the currency the parties contracted on as the sole currency the obligations were to be discharged in. The payments in local currency were improper performance of the contract and the court order, and therefore, the applicant did not fully discharge her obligations.

[10] It was also stated that the applicant had only paid US$300.00 towards the judgment debt as the first payment in ZiG was allocated towards legal costs, which was the only obligation the applicant could discharge in the equivalent ZiG. The first respondent related to the letter of 15 July 2025, which stated that the applicant had to abide by the terms of their contract. She contended that the agreement to pay in United States dollars was lawful and must be enforced. Her legal practitioners wrote a letter dated 9 March 2026 tendering the refund of the sum of ZWG 146 000.00, stating that it was not paid in the currency the parties agreed on. The contents of the said letter were not disputed. Accordingly, the first respondent averred that the applicant had not discharged her obligations and that the execution was lawful as the applicant remains indebted to her. She prayed for the discharge of the Provisional Order and the dismissal of the application.

[11] The fifth respondent also deposed to an affidavit challenging the allegations of unprofessional conduct against her and that she be ordered to pay costs *de bonis propriis*. The applicant, in her answering affidavit, insisted that she had fully discharged her obligations and that the relief sought was warranted.

[12] At the hearing, the respondents abandoned their preliminary points. The parties' legal practitioners made the following oral submissions.

THE SUBMISSIONS

APPLICANT'S SUBMISSIONS

[13] Mrs *Sagwete* submitted this is an application for a *declaratur*. Counsel argued that the background facts are not in dispute. The court must decide whether the debt has been discharged. It was further submitted that the facts are similar to the case of *Zambezi Gas Zimbabwe (Pvt) Ltd* v *N R Barber (Pvt) Ltd & Anor* 2020 (1) ZLR 138 (S). In analysing the relief sought at p 142 in *Zambezi Gas* (supra), the court said:

> "In seeking the declaratory order, the appellant sought an authoritative statement on the discharge of the financial obligations it owed to the first respondent in terms of the order of the court *a quo* following payment of the amount it considered was an exchange rate statutorily prescribed for the kind of debt in question."

The applicant, therefore, seeks a declarator that she has discharged her debt in local currency. She has met the requirements of a declarator.

[14] Mrs *Sagwete* further submitted that the applicant is relying on s 22(1)(e) of the Finance (No. 2) Act, 2019 and also the Presidential Powers (Temporary Measures) (Zimbabwe Gold Notes and Coins) Regulations, 2024 (S.I. 60/2024), which substituted the Zimbabwean dollar with ZiG. In terms of s 2(6) of S.I. 60/2024, the ZiG shall be legal tender alongside any other currency acceptable as legal tender. Even though there was an agreement to pay in United States dollars, the payment in local currency suffices. Counsel cited the case of *Stella Mundi (Pvt) Ltd* v *Murimi Two Four Seven (Pvt) Ltd & Anor* HH 619/24, arguing that the facts therein are similar to the present case. Thus she contended that the applicant discharged her obligation by paying in the legal tender. Counsel also cited the case of *Stella Mundi (Pvt) Ltd* v *Murimi Two Four Seven (Pvt) Ltd & Anor* SC 56/25. It was argued that, in that case, the court misdirected itself in saying that the debt could not be converted into local currency, and that the Supreme Court referred the matter back.

[15] Counsel also argued that the applicant's argument is that the payment in ZiG discharged the legal obligation. Also cited was the case of *Boka* v *Scott & Ors* HH 70/25, which

dealt with a discharge of school fees in local currency. The school had argued that it had signed a contract in United States dollars. It was her contention that, in terms of s 22(1)(e) of the Finance (No.2) Act, the debt being effected after the S.I. 33/2019 has been discharged by the equivalent payment in ZiG. The payment is not barred by the law. The debt is a local obligation. The summons shows that the first respondent sought the debt in US dollars or the equivalent in ZiG. There is no basis to say that the payment can only be in US dollars.

[16] Mrs *Sagwete* further submitted that the issue was also dealt with in *Breastplate Service (Pvt) Ltd* v *Cambria Africa PLC* SC 66/20. Where it is a foreign obligation, the parties would be entitled to discharge that obligation in foreign currency. In this case, the obligation is local. The court order does not give rise to payment in foreign currency only. It is a local transaction which is payable in local currency.

[17] On the issue of costs, counsel argued that the fourth and fifth respondents ought to pay costs on a legal practitioner and client scale *de bonis propriis*. After the payment made on 4 March 2026, their communication was ignored. Despite receiving funds in their account, the respondents did not acknowledge receiving them. And that despite having the funds, the legal practitioners proceeded to instruct the Messenger of Court to proceed with execution. If they were not accepting the funds, they should have responded. Counsel accepted that the conduct may not be gross but remains conduct which ought to be frowned upon. She lastly abided by the submissions on record.

RESPONDENTS' SUBMISSIONS

[18] *Per contra*, Mr *Nyamande* submitted that he stood by the submissions in the respondents' heads of argument. He argued that they believe the applicant's case is fundamentally misconceived. It invites the court to vary an existing court order without setting it aside. No challenge has been made against the extant order. Unless that court order is rescinded or varied in any manner, this court cannot simply declare the court order as extinguished on different terms. This is not just a consent order. It is given in terms of a Deed of Settlement. It is the basis upon which the order is premised. It means that the principle of sanctity of contracts is applicable. It is trite that this court cannot make a contract for the

parties: *ZIMRA* v *Mudzimuwaona* SC 04/18. Effectively, the granting of this order would rewrite the terms set out in the Deed of Settlement between the parties.

[19] Counsel further argued that sight must not be lost of the fact that what the parties did by executing this agreement was not illegal. The statutes cited by counsel for the applicant do not substitute the parties' election of the currency of settlement. They do not take away the court's power to have the order denominated in US dollars. Clause 3 specifically provided for payment in US dollars. This was expressly agreed by the parties. Counsel for the applicant argues that the matter is similar to *Zambezi Gas* (*supra*). This submission is factually incorrect. In *Zambezi Gas* there was no order by consent. It was payment being made without being related to a court order as in this case. I hasten to state that counsel, however, admitted that in *Zambezi Gas* the issue related to the settlement of a judgment debt. It was further argued that the obligation in that judgment was not by consent. It did not arise out of a Deed of Settlement, as in the present matter. There is a difference between an ordinary monetary transaction denominated in United States dollars and a contractual obligation. The United States dollar is also a legal tender.

[20] Counsel also sought to rely on the case of *Stones & Anor* v *CABS & Ors* HH 115/21 in relation to the constitutionality of s 44C of the Reserve Bank of Zimbabwe Act [*Chapter 22:15*], which decision was not confirmed by the Constitutional Court: *Stone & Anor* v *Central Africa Building Society & Ors* CCZ 05/24. Mr *Nyamande* further submitted that as long as the parties have agreed on the currency of payment, the contract must be enforced.

[21] On the issue of costs, Mr *Nyamande* argued that he abided by the papers filed of record. The instruction to the second respondent to execute was lawful because the order was for payment in US dollars and the debt had not been extinguished by operation of law. There is nothing unusual about the conduct of the fourth respondent, taking into account the letter dated 15 July 2025, which ought to have alerted the applicant on how to proceed. If at all, this shows that the applicant was quite deliberate in what she did, knowing fully well the provision of clause 3 of the Deed of Settlement and the letter reaffirming that position. The respondents persist with their prayer in their papers.

APPLICANT'S REPLYING SUBMISSIONS

[22] Mrs *Sagwete* argued that the description of the term "judgment debt" is provided for in the Finance (No. 2) Act, 2019. It is clear. There is no difference between a monetary obligation and a judgment. In response, s 44C(2) of the Reserve Bank of Zimbabwe Act provides for exemptions. This debt is not a foreign loan or obligation which can be discharged in foreign currency. The judgment debt is not a foreign obligation. Counsel accepted that the multi-currency regime is still in place until 2030. She finally submitted that s 22(1)(e) of the Finance (No. 2) Act, 2019 allows for payment in the equivalent local currency or ZiG.

ISSUES FOR DETERMINATION

[23] The sole question for determination is:

Whether or not the applicant has satisfied the requirements for the grant of a *declaratur*.

I, in turn, proceed to deal with the issue.

THE LAW

[24] In terms of s 14 of the High Court Act, this court is empowered to grant a *declaratur* with or without consequential relief. The grant of a declaratory order is a matter within the discretion of the court. Section 14 of the High Court Act states as follows:

> "**14 High Court may determine future or contingent rights**.
> The High Court may, in its discretion, at the instance of any interested person, inquire into and determine any existing, future or contingent right or obligation, notwithstanding that such person cannot claim any relief consequential upon such determination."

[25] The requirements for the grant of a declaratory order are well-settled. The applicant must prove that he or she is an interested person in the sense of having a direct and substantial interest in the subject matter of the litigation. The interest must also concern an existing, future or contingent right or obligation. The court engages in a two-stage enquiry. GUBBAY CJ (as he then was) succinctly outlined the position in *Munn Publishing (Pvt) Ltd* v *Zimbabwe Broadcasting Corporation* 1994 (1) ZLR 337 (S) at 343-344 in the following words:

> "The condition precedent to the grant of a declaratory order is that the applicant must be an interested person, in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court. See *United Watch & Diamond Co (Pty) Ltd & Ors v Disa Hotels Ltd & Anor* 1972 (4) SA 409 (C) at 415 in fine; *Milani & Anor v South African Medical & Dental Council & Anor* 1990 (1) SA 899 (T) at 902G–H. The interest must relate to an existing, future or contingent right. The court will not decide abstract, academic or hypothetical questions unrelated to such interest. See *Anglo-Transvaal Collieries Ltd v SA Mutual Life Assurance Soc* 1977 (3) SA 631 (T) at 635G–H. But the existence of an actual dispute between persons interested is not a statutory requirement to an exercise by the court of jurisdiction. See *Ex p Nell* 1963 (1) SA 754 (A) at 759H–760A. Nor does the availability of another remedy render the grant of a declaratory order incompetent. See *Gelcon Investments (Pvt) Ltd v Adair Properties (Pvt) Ltd* 1969 (2) RLR 120 (G) at 128A–B; 1969 (3) SA 142 (R) at 144D–F.
>
> This, then, is the first stage in the determination by the court. At the second stage of the enquiry, it is incumbent upon the court to decide whether or not the case in question is a proper one for the exercise of its discretion under s 14. What constitutes a proper case was considered by *Williamson J in Adbro Investment Co Ltd v Minister of the Interior &Ors* 1961 (3) SA 283 (T) at 285B–C, to be one which, generally speaking, showed that —
>
> > '…despite the fact that no consequential relief is being claimed or perhaps could be claimed in the proceedings, yet nevertheless justice or convenience demands that a declaration be made, for instance as to the existence of or as to the nature of a legal right claimed by the applicant or of a legal obligation said to be due by a respondent. I think that a proper case for a purely declaratory order is not made out if the result is merely a decision on a matter which is really of mere academic interest to the applicant. I feel that some tangible and justifiable advantage in relation to the applicant's position with reference to an existing future or contingent legal right or obligation must appear to flow from the grant of the declaratory order sought." See also *Reinecke v Incorporated General Insurances Ltd* 1974 (2) SA 84 (A) at 93D–H.'" (*my emphasis*)

[26] In *Streamsleigh Investments (Pvt) Ltd* v *Autoband Investments (Pvt) Ltd* 2014 (1) ZLR 736 (S) at 750C, the court further restated the law as follows:

> "A declaratory order under s 14 of the High Court Act [*Chapter 7:06*] is appropriate to determine any existing, future or contingent right or obligation. An applicant for a declaratory order must be an interested person in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court**.** In addition, an applicant must establish that some tangible and justifiable advantage in relation to its position with reference to an existing, future or contingent legal right or obligation may appear to flow from the grant of the declaratory order sought. See *Johnsen* v *Agricultural Finance Corporation* 1995 (1) ZLR 65 (S) at 72E-F; *Munn Publishing (Pvt) Ltd* v *Zimbabwe Broadcasting Corporation* 1994 (1) ZLR 337 (S) at 344." (*my emphasis*)

APPLICATION OF THE LAW TO THE FACTS

[27] There is no dispute that the applicant is an interested person in the sense of having a direct and substantial interest in the subject matter of this suit which could be prejudicially affected by the court's judgment. She is the affected person entitled, in terms of s 14 of the High Court Act, to approach the court for a declarator. As confirmed in *Zambezi Gas* (*supra*), the applicant, in seeking the declaratory order, indeed seeks an authoritative statement on the discharge of the financial obligations she owed to the first respondent arising from the consent order of the Magistrates Court after payment of the amount in the equivalent ZiG she considered statutorily prescribed for the debt in question. The enquiry, therefore, does not concern a mere academic exercise. The dispute centres on whether the applicant has a right to discharge the debt by paying in the equivalent ZiG, which is also legal tender, given the specific, foreign currency-denominated judgment debt as stated in the court order incorporating the terms of the parties' Deed of Settlement. She contended that she fully discharged her financial obligation arising from the consent order granted by the Magistrates Court by the payment of the United States dollar-denominated judgment debt in the equivalent local currency, the ZiG, while on the other hand, the first respondent disputes that the financial obligations could be settled in any other currency outside the one the parties specifically agreed upon.

[28] There is no doubt that the judgment debt in question is one acquired post 22 February 2019. Accordingly, the question of whether or not it is a liability which is affected by the provisions of s 4(1)(d) of Presidential Powers (Temporary Measures) (Amendment of Reserve Bank of Zimbabwe Act and Issue of Real Time Gross Settlement Electronic Dollars (RTGS Dollars)) Regulations 2019 (S.I. 33/2019) does not arise. The transaction or the financial obligations arose after the effective date, as the Deed of Settlement and the consent order thereof were made in April 2025. Thus, the obligation after the effective date would fall under the provisions of s 4(1)e) of S.I. 33/2019, which was re-enacted under s 22(1)(e) of the Finance (No. 2) Act, 2019. Commenting on this relevant part of the law as set out in *Zambezi Gas* (*supra*), UCHENA JA in *Magauzi* v *Jekera & Anor* 2022 (1) ZLR 430 (S) at 434G-435B had this to say:

> "Commenting on s 4 (1)(e) the Chief Justice at p 13 said:

> 'The transactions entered into after the effective date would fall under the provisions of s 4 (1)(e) of S.I 33/19'

Section 4(1)(e) of S.I. 33/19 and s 22 (1)(e) of the Finance Act (No 2) of 2019 provides as follows:

> '(e) that after the effective date any variance from the opening parity rate shall be determined from time to time by the rate at which authorised dealers under the Exchange Control Act exchange the RTGS Dollar for the United States Dollar on a willing seller-buyer-basis … ."

Section 4 (1)(e) clearly means that the rate at which any value in United States dollars established by any means, including judgment debts, shall after the effective date be based on the rate at which authorised dealers under the Exchange Control Act exchange the RTGS Dollar for the United States Dollar on a willing seller–buyer basis." (*my emphasis*)

[29] The above legal position relates to the general position in relation to an ordinary monetary or financial obligation denominated in foreign currency, which, if it is a local obligation, may be settled in the equivalent local currency which is also the legal tender. But once the parties agree in a Deed of Settlement and embed it in a consent order, that financial obligation is no longer an ordinary monetary or financial obligation but one which contractually would be payable in a particular currency as chosen by the parties. The court ought to enforce their contract. The law recognises the fundamental principle of freedom of contract and the sanctity of contract. Thus, under common law, an offer to pay a debt in legal tender must generally be accepted unless the contract specifies some other form of currency. If the agreement stipulates that the repayment shall be in United States dollars, one must comply with the contract even if the United States dollar was not legal tender. There is no statutory position that makes it a criminal offence or illegal to pay debts in anything other than legal tender in Zimbabwe, as is the case in South Africa; the common law applies.

[30] The law does not proscribe that parties cannot contract in respect of a payment specifically in a particular foreign currency. PATEL JA (as he then was) related to the legal position fully in *Breastplate Service (Pvt) Ltd* v *Cambria Africa PLC* SC 66/20 at pp 13-14 when he said:

> "To conclude on this aspect, the concept of "legal tender", in its ordinary signification, denotes money or currency in official circulation that must be accepted if offered in payment of a debt. In the realm of contractual relations, what this means is that the debtor is entitled to settle his debt through the medium of legal tender and, conversely, the

> creditor is obliged to accept that tender. The latter has no choice or latitude in the matter. On the other hand, unless explicitly proscribed by statute (as discussed below), there is nothing under the common law to preclude the debtor from discharging his debt in any currency or medium of exchange other than the officially designated legal tender, including any foreign currency, so long as the creditor is prepared to accept such payment in settlement of the debt. This arises by virtue of the time-honoured doctrine of freedom of contract which, in my view, remains intact and unimpaired by the provisions of S.I. 142 of 2019." (*my emphasis*)

[31] The Supreme Court further endorsed that there is nothing illegal in the parties agreeing on payment in United States dollars in terms of their Deed of Settlement, which is a compromise, in *Mabhena* v *Golden Beams Development (Pvt) Ltd* SC 29/23. At pp 6-7, the court held that:

> "We conclude therefore that the Deed of Settlement entered into after the cut-off date does not fall within the purview of the statutory provisions under consideration. The deed cannot therefore be held to have been void *ab initio* for contravening the provisions of S.I 33 of 2019….
>
> The appellant's contention is that the Deed of Settlement, expressed in United States dollars, runs foul of the above provisions, rendering it null and void. The respondent argues to the contrary and submits that S.I 142/2019 does not prohibit individuals from entering contracts expressed in other currencies. For that reason, it was submitted that the Deed of Settlement does not violate any fiscal regulations.
>
> We agree with the position taken by the respondent. Indeed, this Court has previously pronounced itself on this point in *Breastplate Service (Pvt) Ltd v Cambria Africa PLC* SC 66/20…
>
> There being no statutory provision explicitly prohibiting the kind of contract that the parties freely and voluntarily engaged in, the Deed of Settlement must be upheld." (*my emphasis*)

[32] *In casu*, it is common cause that the parties signed a Deed of Settlement, which compromised the proceedings in case number HRE C-CG 3867/24 resulting in the consent order. Clause 3 of the Deed of Settlement expressly states that;

> "The Defendant agrees and undertakes to make the payments in United States dollars." (*my emphasis*)

There is nothing wrong with the parties entering into such an agreement, even if it can be said that, at the time, the United States dollar was not legal tender. In any case, the United States dollar is legal tender as Zimbabwe allows the use of denominated foreign currencies as legal tender alongside the local currency, the Zimbabwe Gold (ZiG). The use of the multi-currency system was legalised through the Exchange Control (Exclusive Use of Zimbabwe Dollar for Domestic Transactions) (Amendment) Regulations, 2020

(No. 2), S.I. 85/2020. The Statutory Instrument legalised the use of foreign currency for domestic transactions, that is, transactions carried out within Zimbabwe. Even SI 60/2024 introducing the ZiG currency recognised this legal position by inserting s 44D of the Reserve Bank of Zimbabwe Act in terms of s 2(1) thereof. Thus, s 44D(6) provides that:

> "(6) The tender of payment of ZiG notes and coins shall be legal tender in all transactions, alongside any other currency acceptable as legal tender as prescribed under section 44A." (*my emphasis*)

[33] Since the Deed of Settlement is a compromise, Mrs *Sagwete*'s reliance on the first respondent's original claim or summons seeking payment in US dollars or its equivalent in ZiG would be misplaced. The Deed of Settlement creates new obligations for the applicant. Such a compromise is also referred to as a *transactio* which means "an agreement between two or more persons to end litigation or prevent litigation resulting from their differences." See also *Benefeld v West 2011 (2) SA 379*, where a compromise is defined in the following terms:

> "A compromise is a settlement of litigation or envisaged litigation, it is a substantive contract that exists independently of the original cause."

Once the parties signed the Deed of Settlement, the fact that in the summons the first respondent was claiming payment in United States dollars or its equivalent in ZiG would no longer be relevant. The parties' relationship becomes regulated by the Deed of Settlement and the subsequent consent order. That Deed of Settlement is also equivalent to a consent to judgment.

[34] It is also common cause that following the Deed of Settlement, the Magistrates Court further issued a consent order which incorporated the terms of the parties' agreement in terms of the Deed of Settlement. The consent order provides that:

> "1. The Defendant shall pay the Plaintiff a total sum of US$5 700.00 (Five Thousand Seven Hundred United States Dollars) in terms of the Deed of Settlement signed by the parties.
> 2. The Deed of Settlement signed by the parties and filed of record be and is hereby incorporated into this court order by consent.
> 3. Failure or default by the Defendant in making any of the monthly instalments prescribed in the Deed of Settlement, the Messenger of Court will be empowered to execute upon this order without any notice to the Defendant." (*my emphasis*)

In terms of para 2 of the consent order, the parties' contract, including clause 3 of the Deed of Settlement, was brought into effect. The obligation arising from the consent order was thus denominated in United States dollars, as the currency of choice agreed to by the parties themselves. The nature of a consent order was further outlined in *Technoimpex JSC* v *Rajendrakumar Jogi & Ors* SC 29/22 at p 10, where the court had this to say:

> "A consent to a court order is a decision consciously made by a party fully appreciating the facts and the law applicable to the dispute between the parties. Consent to a court order cannot be based on facts which were not in the contemplation of the parties."

[35] It is also settled that a consent order arising out of a contract is also a contract between the parties except that the latter is superadded with the command of the court. The terms of the agreement between the parties are now said to be "embodied" and "crystallised" in the said order. This arises from the fact that a consent order signifies a contract between the parties. Thus, RAMLY J of the Malaysian Court of Appeal in the case of *Mayhan Allied BHD* v *Kenneth Godfrey Gomez & Anor* [2010] 9 CLJ 702 aptly stated;

> "The Consent Order is founded on a contract or agreement between parties based on both parties' willingness to submit ... to certain terms. Once the Appellant and the Respondent took a matter beyond the contract and recorded a Consent Order then they must accept all the implications of a Judgement or Order." (*my emphasis*)

In the same case, the court finally held that;

> "Essentially, although a Consent Order arises out of an agreement and terms arrived at by the parties themselves, and may even evidence a contract with or without obligation, it is a Judgement or Order made by or in the name of the Court and has all the consequences of a Court Judgement or Order (See Order 42/ SA/ 4 RSC White Book 1999 Edition). The parties must therefore accept its implications." (*my emphasis*)

The above principles were affirmed in *V Z v V Z* [2022] ZAGP JHC 694 para 14, where THUPAATLASE AJ said:

> "In this case the Applicant was present when a judgment by consent was granted in favour of the Respondent. He consented to it by way of settlement agreement. The Applicant therefore contractually bound himself to fulfil the terms of the agreement." (*my emphasis*)

[36] The applicant falls to be governed by the same legal principles *in casu*. She is equally contractually bound by the terms of the Deed of Settlement whose terms also became those of the order of the court itself. Accordingly, the consent order reinforces the parties'

contract for the payment of the financial obligations arising from the judgment debt in the currency of their choice, the United States dollar. The parties' intention in the transaction was for the obligation to be payable in foreign currency, particularly only in United States dollars. It is not, therefore, proper to simply ignore the contract of the parties. It is settled law that the courts must enforce freely and voluntarily assumed obligations. The courts do not make contracts for the parties. As long as the agreement is lawful, parties must be held strictly to the consequences of their contractual obligations, as that is also what public policy dictates. See *Magodora & Ors* v *CARE International Zimbabwe* SC 24/14 at p 7, PATEL JA (as he then was) held that:

> "In principle, it is not open to the courts to rewrite a contract entered into between the parties or to excuse any of them from the consequences of the contract that they have freely and voluntarily accepted, even if they are shown to be onerous or oppressive. This is so as a matter of public policy. See *Wells* v *South African Alumenite Company* 1927 AD 69 at 73; Christie: *The Law of Contract in South Africa* (third ed.) at pp. 14-15. Nor is it generally permissible to read into the contract some implied or tacit term that is in direct conflict with its express terms. See *South African Mutual Aid Society* v *Cape Town Chamber of Commerce* 1962 (1) SA 598 (A) at 615D; *First National Bank of SA Ltd* v *Transvaal Rugby Union & Another* 1997 (3) SA 851 (W) at 864E-H." (*my emphasis*)

[37] The same position was further affirmed in *Kempen* v *Kempen* SC 14/16 at p 8, where the court remarked:

> "Our legal system pays great honour to the doctrine of sanctity of contract to the effect that lawful agreements are binding and enforceable by the courts. In *Book v Davidson* 1988 (1) ZLR at 369F, the court held that, it is in the public interest that agreements freely entered into must be honoured."

See further, *ZIMRA* v *Mudzimuwaona* (*supra*) at p 9, which also emphasised that the basic tenet of sanctity of contract must be upheld by courts of justice. The courts are confined to interpreting contracts and not to create or make a contract for the parties. The principle thus entails that the court should respect the contract made by the parties and give effect to it.

[38] The applicant agreed to pay the debt in United States dollars. That was an obligation she freely and voluntarily assumed, and the court must enforce that agreement. It was not illegal to do so. As stated in *Breastplate* (*supra*), the court recognises that, in terms of the principle of freedom of contract, parties can freely agree on the currency for their transaction or that the financial obligations arising thereby be paid in the agreed currency.

That agreement extinguishes the right of the debtor in the circumstances to turn to any other legal tender. The applicant limited herself to paying the judgment debt in United States dollars as agreed and cannot turn and argue that she can pay in any currency she wishes without first seeking the creditor's agreement or having the consent order varied. Mrs *Sagwete* conflates the general status of the ZiG as legal tender with the specific contractual obligation voluntarily assumed by the applicant to pay the judgment debt in United States dollars. The doctrine of freedom of contract remains intact and was not impaired or disturbed by the provisions of s 22(1)(e of the Finance (No. 2) Act, 2019.

[39] It is also settled law that a court order remains valid and binding on the parties unless and until it is set aside, reversed or varied by an order of a competent court. As long as a court order remains extant, it must be given effect to. This legal position was outlined in *Magauzi* v *Jekera & Anor* 2022 (1) ZLR 430 (S) at 434B-D, where UCHENA JA said:

> "When a court grants an order, all subsequent acts affecting the dispute between the parties rely on the court's order and not the reason or facts the court based its judgment on. Execution of judgment debts is based on court orders and not the reason for which the court order was granted. Therefore, a party or the parties cannot disregard a court order as they are bound by it. In the case of *Chiwenga v Chiwenga* SC 2/14, it was stated that:
>
> > 'The law is clear that an extant order of this Court must be obeyed or given effect to unless it has been varied or set aside by this Court and not even by consent can parties vary or depart therefrom. See also *CFU v Mhuriro & Ors* 2000 (2) ZLR 405 (S).'" (*my emphasis*)

[40] The parties, by their agreement, which the court reinforced through the consent order, agreed that the applicant could only pay the debt in United States dollars. Given these circumstances, she must comply with the contract superadded with the authority of the court in the form of the consent order. She is bound by that contract to pay only in United States dollars. The court order remains enforceable, and the court cannot vary that order or purport to set it aside through a *declaratur*. The order has not been varied either by the consent of the parties or by the court which issued the same order. In that instance, a *declaratur* cannot be competent to vary, alter or review an order of the lower court granted with the consent of the parties. The same order granted the parties' wish under para 3 of the Deed of Settlement for the financial obligation arising from the judgment debt to be discharged only by payment in United States dollars.

[41] The rights and obligations of the parties having been defined and given content in the consent order, the court no longer has any discretion to exercise in the matter. It is trite that a *declaratur* is not available or the court cannot exercise a discretion where the parties' rights and obligations have already been defined by another competent court. See *Elephant College v Chiyangwa & Anor* 2020 (1) ZLR 1287 (S) at 1290A-B where the court held that:

> "While the position regarding when the High Court may grant a *declaratur* is settled, it however, presents itself quite clearly to me that, in exercising the discretion granted to it by s 14 of the High Court Act, that court may not determine a right or obligation has already been determined by another competent court. In other words, it cannot issue a declaratory order in respect of a right or obligation which has been defined and given content by an extant judgment". (*my emphasis*)

There is no dispute that the obligation for the applicant to pay the judgment debt has already been defined to be only payable in United States dollars as per the parties' Deed of Settlement or contract given effect by para (2) of the consent order. To that end, that order being extant, robbed this court of its discretion in terms of s 14 of the High Court Act to grant a declaratory order prescribing that settlement in another legal tender different from what the parties agreed would constitute full discharge of the financial obligations thereto. The applicant clearly has no right for the court to declare that she rendered full performance. The performance was improper as it was not in accordance with what the parties had agreed and which the court endorsed through the consent order.

[42] The case of *Stella Mundi (Pvt) Ltd* v *Murimi Two Four Seven (Pvt) Ltd & Anor* SC 56/25 is of no assistance to the applicant. It is clear in that case that the Supreme Court did not make any definitive and final decision on the matter, as it remitted the matter back to the court *a quo* for determination of the issue it had failed to determine, as well as the other requirements for a declaratory order. Thus, at pp 13-14, MATHONSI JA said:

> "The appellant is correct in its submission that the court *a quo* did not relate to subsection (e) of s 22 (1). …
> If it had related to that sub- section, it might have arrived at a different conclusion regarding whether the appellant had a real and substantial interest to seek the *declarator.* Whether the appellant will be able to establish the other requirements for the grant of a *declaratur* is still to be seen.
> In the circumstances, it is appropriate to remit the matter to the court *a quo* to allow it to exercise its discretion, as a court of first instance, in determining all the other requirements for the grant of a *declaratur*."

The case is, therefore, no authority for the applicant's argument or position.

[43] Further, the *Zambezi Gas* and the *Boka v Scott & Ors* cases (*supra*) are also distinguishable. I agree with Mr *Nyamande* that the factual circumstances are clearly different from the current matter. Those cases do not relate to a consent order and a situation where there is a Deed of Settlement whose terms the consent order was premised on, as in the case before me. The parties' rights and obligations have already been set out in the consent order, which endorsed the parties' contract or Deed of Settlement. The applicant agreed to pay the debt only in US dollars. It is no longer available for her to pay in any other currency save with the consent of the first respondent or upon the variation of the court order. The extant order can only be vacated in terms of the appropriate procedure set out in the rules of that court. A declarator is not such procedure to shelter herself from the effect of what she agreed to. I thus endorse the sentiments by MAWADZE J (as he then was) in *Mutyasira* v *Gonyora N.O & Ors; Gonyora N.O* v *Mutyasira & Ors* HH 180/14 at p 10, where he correctly observed:

> "In my view applicant cannot seek to have this court review its own orders under the guise of declaratory relief. This court can only correct vary or rescind its judgements and orders in terms of r 449(1) (a) to (c) of the High Court Rules 1971. The applicant has not approached the court on that basis but seeks declaratory relief. I do not share the view that para 3 of KUDYA J's order can be pronounced by this court as void *abinitio*. The simple fact is that the judgments of this court are not reversible by the same court but are appealable. The indebtedness of the applicant to the first respondent in the amount later granted by UCHENA J is clear. The machinations and legal gymnastics by the applicant are futile and inconsequential. The applicant should simply comply with the court orders and pay what is clearly due to the first respondent. (*my emphasis*)

[44] Accordingly, the applicant must comply with the consent order and pay what is due to the first respondent in terms thereof. The purported payment or discharge of the US dollar-denominated judgment debt in ZiG is invalid as it is in breach of an extant court order which reinforced the parties' agreement as *per* their Deed of Settlement. The applicant properly and lawfully rejected the purported payments in ZiG.

[45] Additionally, it is also clear that the first respondent did not accept the tender of payment in equivalent ZiG *in lieu* of the agreed United States dollars. In para 32 of the founding affidavit, the applicant pleaded that the first respondent waived her right to insist on payment of the debt in United States dollars by accepting payment in the ZiG equivalent.

However, this position is clearly untenable. It is trite that waiver requires clear, unequivocal and intentional relinquishment of a known right. There is a strong presumption against the waiver, and the *onus* of proof is upon the party asserting it. See *Laws* v *Rutherfurd* 1924 AD 261 at 263, where INNES CJ said:

> "The *onus* is strictly on the appellant. He must show that the respondent, with full knowledge of her right, decided to abandon it, whether expressly or by conduct plainly inconsistent with an intention to enforce it."

The above principles on waiver were restated in *Chidziva and Ors* v *Zimbabwe & Steel Co. Ltd* 1997 (2) ZLR 368 (S). The court further held that:

> "The effect of the waiver of a legal right is to extinguish that right and any concomitant obligation: *Laws v Rutherfurd* 1924 AD 261. In order to establish a waiver, all that one must show is that the party has taken some step which is only necessary, or only useful, if the objection to the irregularities has been actually waived, or has never been entertained. However, the intention or conduct of the party waiving a right must be conveyed to the other party.
>
> In *Mutual Life Insurance Co of New York v Ingle* 1910 TPD 540, INNES CJ explained the legal position as follows at p 540:
>
> 'It seems to me that the mere intention, a mere mental resolution to waive a right not communicated to the other party cannot in law constitute a waiver or renunciation of the right by the person entitled to enforce it … Until the intention to waive a right is communicated to the other party, or evidenced to him by some overt act, a change of mind is always possible and permissible. Otherwise, a man might by an entry in his own diary, of an account of a casual conversation with a friend (quite unknown at the time to the party affected), find himself debarred from enforcing a right which on further reflection he was desirous of vindicating. After all, waiver is the renunciation of a right. When the intention to renounce is expressly communicated to the person affected, he is entitled to act upon it, and the right is gone. When the renunciation, though not communicated, is evidenced by conduct inconsistent with the enforcement of the right, or clearly showing an intention to surrender it, then also the intention may be acted upon, and the right perishes. But a mere mental resolve, not so evidenced, and not communicated to the other party, but discovered by him afterwards, seems to me, (apart from considerations founded upon lapse of time) to have no effect upon the legal position of a person making the resolve.'" (*my emphasis*)

[46] In this case, the applicant deposited the sum of ZWG9 031.86 into the personal Ecocash account of the fifth respondent on 2 June 2025. After that payment, the fourth respondent dispatched a letter dated 15 July 2025. The letter categorically expressed the first respondent's position regarding the settlement of the debt. The legal practitioners advised that they had allocated the payment towards the costs and further stated:

> "May you kindly bring it to your client's attention that the Deed of Settlement binding between the parties speaks to the payment of the debt in USD currency. Therefore, payment in Zig currency at the prevailing bank rate is unacceptable." (*my emphasis*)

The first respondent's position is unequivocal. She insisted on payment in United States dollars as agreed in the Deed of Settlement. The payment in ZiG could not be taken to be a waiver of her rights to insist on adherence to the terms of the contract.

[47] After that payment, the applicant did not make any further payment until 4 March 2026. At that stage, she did not first seek to find out whether there was any change in the judgment creditor's stance before making the payment of ZWG146 000.00. She simply proceeded to unilaterally effect a bank transfer of the amount into the fourth respondent's bank account in the equivalent ZiG. She was fully aware of the first respondent's position and the requirement of the consent order to pay in US dollars. In my view, it was mischievous for her to foist upon the respondents the acceptance of its payment by purporting to pay in ZiG, given the clear letter of 15 July 2025. She could not then claim that the first respondent had accepted the payment in ZiG or waived her rights. There is no waiver to talk about here, where the applicant was duly advised to stick to the terms of the agreement as endorsed in the consent order. The delay in responding or communicating further in writing by the respondents from 4 March 2026, when the payment was made, until 9 March 2026 cannot, *per se*, be taken as a waiver. There was no acquiescence to the payment in ZiG that could lead the applicant to think that the first respondent had abandoned her right to payment in United States dollars. This is so given the applicant's own confirmation in para 26 of the founding affidavit that she was advised through her legal practitioners on 6 March 2026 that execution had to proceed as the payment in ZiG was not what was legally due in terms of the consent order. The applicant was, therefore, fully aware of the first respondent's right and that she had not abandoned the same.

[48] The first respondent's legal practitioners also responded to the applicant's legal counsel's letter dated 6 March 2026 on 9 March 2026. In that letter, the respondents further stated that "the judgment in the above matter is expressly denominated in United States Dollars (USD)". They further said:

> "Further, the purported payment you refer to was neither tendered in the currency of the judgment nor deposited into our firm's trust account as is standard practice in matters of this nature. It was instead unilaterally deposited into our business account without our consent or prior arrangement. Such conduct is irregular and improper and cannot constitute proper tender or settlement of the judgment debt. Therefore, we are prepared to refund the unsolicited deposit less applicable bank charges.
>
> In the absence of proper payment of the judgment debt in the currency in which it is denominated, the debt remained unsatisfied. Consequently, the Messenger of Court acted strictly in accordance with lawful instructions issued pursuant to the writ of execution. We therefore reject any insinuation of unprofessional conduct on our part. Should your client wish to settle the judgment debt and the Messenger's costs of execution, such payment must be effected in United States Dollars, being the currency of the judgment, unless an alternative arrangement is agreed upon by the parties." (*my emphasis*)

The applicant did not challenge this communication in the answering affidavit. It simply restated the first respondent's position outlined in the letter dated 15 July 2025, which I alluded to earlier. Given the above communications and the conduct of the respondents, there is no basis to allege any waiver. The first respondent's position was clear that she insisted on payment in United States dollars as the currency for the discharge of the obligation arising from the consent order and the Deed of Settlement. To that end, there was no evidence to show that the first respondent waived her right to the payment in United States dollars, the currency of the judgment by consent. The argument on waiver must accordingly fail.

[49] Accordingly, the applicant, who was required in terms of the court order which incorporated the terms of the Deed of Settlement or compromise between the parties containing the agreed currency of payment, cannot argue that she duly and fully discharged her obligations or the judgment debt. She did not pay in terms of that court order and cannot be taken to have discharged her financial obligations. I, therefore, do not accept that the applicant fully discharged her obligations or the debt in question. She is not entitled to the relief sought.

[50] This makes the execution process by the Messenger of Court, the second respondent, under the instructions of the first respondent, clearly a valid and lawful process to recover the outstanding debt. The applicant paid only US$300.00 of the total US$5 700.00 that was due. The first respondent is entitled to recover what is due, as the applicant defaulted on the agreed terms of payment. The payment of ZWG 146 000.00 on 4 March 2026 did

not discharge the debt. It was not in the currency the parties agreed to and which the court ordered the applicant to pay. The first respondent was, therefore, not obliged to accept it. That it is also legal tender, as is the United States dollar, is not the point. That argument does not assist the applicant given the contract or Deed of Settlement whose terms were made part of the consent court order issued by the Magistrates Court on 17 April 2025. The applicant could not validly purport to discharge the debt in open defiance of the consent order to which she is contractually bound. The applicant has, therefore, failed to satisfy the requirements for the grant of a declaratory order.

[51] As regards costs, the first respondent merely requested the costs of suit on a legal practitioner and client scale. They were not motivated at all in the written submissions and by Mr *Nyamande* before me. The entirety of the respondents' heads of argument dealt with the question whether or not costs *de bonis propriis* are appropriate. Given that the *declaratur* sought cannot succeed, there is no longer any issue about such costs for me to determine. The law is clear that costs are a matter wholly within the discretion of the court. Further, costs on a legal practitioner and client scale are granted in exceptional circumstances. Such exceptional circumstances were not highlighted by the respondents. I do not believe there are any such circumstances to warrant an award of punitive costs. The application cannot be termed an abuse of court process. To that extent, ordinary costs ought to ensue.

DISPOSITION

[52] In light of the reasons aforestated, this application cannot succeed. I am satisfied that the applicant failed to establish all the requirements for the grant of a declaratory order. The applicant did not discharge the judgment debt which is due and payable in United States dollars, the currency the parties agreed upon. The principle of public policy binds the applicant to what she contractually bound herself to pay. The court must give effect to that agreement which was also incorporated as part of the consent order. The execution is, therefore, a lawful process being pursued for the first respondent to recover the outstanding judgment debt. There is no reason to disturb that lawful process.

[53] Resultantly, it is ordered as follows:

1. The Provisional Order issued on 12 March 2026 be and is hereby discharged.
2. The applicant shall pay costs of suit.

DEMBURE J: ……..

Masawi & Associates, applicant's legal practitioners
Sande Legal Practice, 1st, 4th & 5th respondents' legal practitioners